

ECONOMIC IMPACT REPORT

Robert W. Johnson & Associates

4984 El Camino Real Suite 210 Los Altos, CA 94022

PERSONAL INJURY
Economic Impact Report

Adan Gomez-Rivera

Robert W. Johnson & Associates
Los Altos, CA

Robert W. Johnson & Associates

FORENSIC ECONOMISTS

June 24, 2025

Mr. James Nevin
Brayton Purcell LLP
222 Rush Landing Rd.
Novato, CA 94945

Re: Adan Gomez-Rivera

Dear Mr. Nevin:

I have examined the information given to Robert W. Johnson & Associates regarding Mr. Adan Gomez-Rivera and his pecuniary losses. Based on this data, I have calculated the present cash value of his economic loss using generally accepted statistical techniques and econometric methods of analysis. My opinion on this matter is set forth below. This economic analysis does not include any possible damages for Mr. Gomez-Rivera's non-economic damages.

This economic loss evaluation presumes several economic relationships regarding inflation, wages and wage growths. These relationships were empirically determined based on over 50 years of post-World War II economic data (please see the discussion of economic assumptions).

	Total Present Value
Expected Income	\$395,781
Value of Home Care	\$286,059
Past Medical Expenses	\$25,539
CPI Expenses	\$6,105
MCPI Expenses	\$7,680,152
Household Services	\$279,371
TOTALS:	\$8,673,007

If we can be of further assistance, please call either of us.

Very truly yours,

A handwritten signature in blue ink, appearing to read 'R. Johnson', with a long horizontal flourish extending to the left.

Robert W. Johnson

A handwritten signature in blue ink, appearing to read 'JA Mills', with a long horizontal flourish extending to the left.

James A. Mills

PERSONAL INJURY - ECONOMIC IMPACT REPORT
Re: Adan Gomez-Rivera

Name: Mr. Adan Gomez-Rivera

Date of birth: 8/30/1971

Age at date of loss: 51

Gender: Male

Date of loss: 2/10/2023

Date of report: 6/24/2025

Expected Employment: Fabricator and Installer

This report quantifies the economic damages of this case. It does not include any non-economic damages.

All future losses, expenses, mitigating income, etc. (if applicable), beyond the current year are brought to a present value using the appropriate discount rates as discussed on the following page(s).

PERSONAL INJURY - ECONOMIC IMPACT REPORT
Re: Adan Gomez-Rivera

This analysis calculates the present value of Mr. Gomez-Rivera's economic damages¹, starting 2/10/2023, until the end of his life expectancy. Future economic damages are reduced to present value using current U.S. Treasury (zero coupon strips) yields for each respective year in the future. This analysis does not consider loss of society or any other non-economic issue. This economist reserves the right to amend this opinion based upon more current or relevant data and evidence admitted at the time of trial².

Expected Income:

This analysis estimates Mr. Gomez-Rivera's Expected Income for the remainder of 2023 to be \$19,550, in 2024 through 2037 to be \$26,798 per annum, and in 2038 to be \$17,687 as a fabricator and installer based on information supplied by counsel*. Mr. Gomez-Rivera's Expected Income is increased by an average growth rate of 3.53%. Mr. Gomez-Rivera's Expected Income is calculated until the end of his work-life capacity in the year 2038.

Value of Home Care:

This analysis estimates Mr. Gomez-Rivera's Value of Home Care for the remainder of 2023 to be \$5,915, in 2024 through 2034 to be \$25,012 per annum, and in 2035 to be \$12,506 based on information supplied by counsel and the Genworth Cost of Care Survey*. Mr. Gomez-Rivera's Value of Home Care is increased by an average growth rate of 3.53%. Mr. Gomez-Rivera's Value of Home Care is calculated until the end of his reduced life expectancy in the year 2035.

Past Medical Expenses:

This analysis estimates Mr. Gomez-Rivera's Past Medical Expenses to be \$25,539 based on information supplied by counsel.

¹ Unless otherwise specified herein, this analysis does not include other potential economic damages associated with this matter (e.g. past and future medical expenses, funeral expenses, etc.).

² Date of trial is 1/26/2026, per counsel.

* This is not the Future Value, adjusted for growth.

PERSONAL INJURY - ECONOMIC IMPACT REPORT
Re: Adan Gomez-Rivera

LIFE CARE PLAN³:

CPI Expenses⁴:

This analysis calculates the present value of the cost of Life Care Plan Expenses due to the injuries to Mr. Gomez-Rivera. This analysis estimates that Mr. Gomez-Rivera's Life Care Plan Expenses in the years 2026 to 2035 will range from \$994 (first year) to \$222 (last year) per annum based on information supplied by Aaron Wolfson, Ph.D*. Mr. Gomez-Rivera's Life Care Plan Expenses are increased by an average growth rate of 3.53%. Mr. Gomez-Rivera's Life Care Plan Expenses are calculated until the end of his reduced life expectancy in the year 2035.

MCPI Expenses⁵:

This analysis calculates the present value of the cost of Life Care Plan Expenses due to the injuries to Mr. Gomez-Rivera. This analysis estimates that Mr. Gomez-Rivera's Life Care Plan Expenses in the years 2025 to 2035 will range from \$2,392,919 (first year) to \$143,423 (last year) per annum based on information supplied by Aaron Wolfson, Ph.D*. Mr. Gomez-Rivera's Life Care Plan Expenses are increased by an average growth rate of 5.01%. Mr. Gomez-Rivera's Life Care Plan Expenses are calculated until the end of his reduced life expectancy in the year 2035.

Household Services⁶:

This analysis estimates Mr. Gomez-Rivera's Household Services in 2022⁷ to be \$2,560, in 2023 to be \$4,460, in 2024 through 2037 to be \$9,241 per annum, in 2038 to be \$10,481, in 2039 through 2050 to be \$12,887 per annum, and in 2051 to be \$3,093 based on information supplied by the 2023 Dollar Value of a Day Study*. Mr. Gomez-Rivera's Household Services are increased by an average growth rate of 3.96%. Mr. Gomez-Rivera's Household Services are calculated until the end of his life expectancy, less two years.

³ This analysis estimates Mr. Gomez-Rivera's future Life Care Plan expenses commencing 7/1/2025.

⁴ CPI Expenses include items whose prices will increase in the future based on changes in the Consumer Price Index.

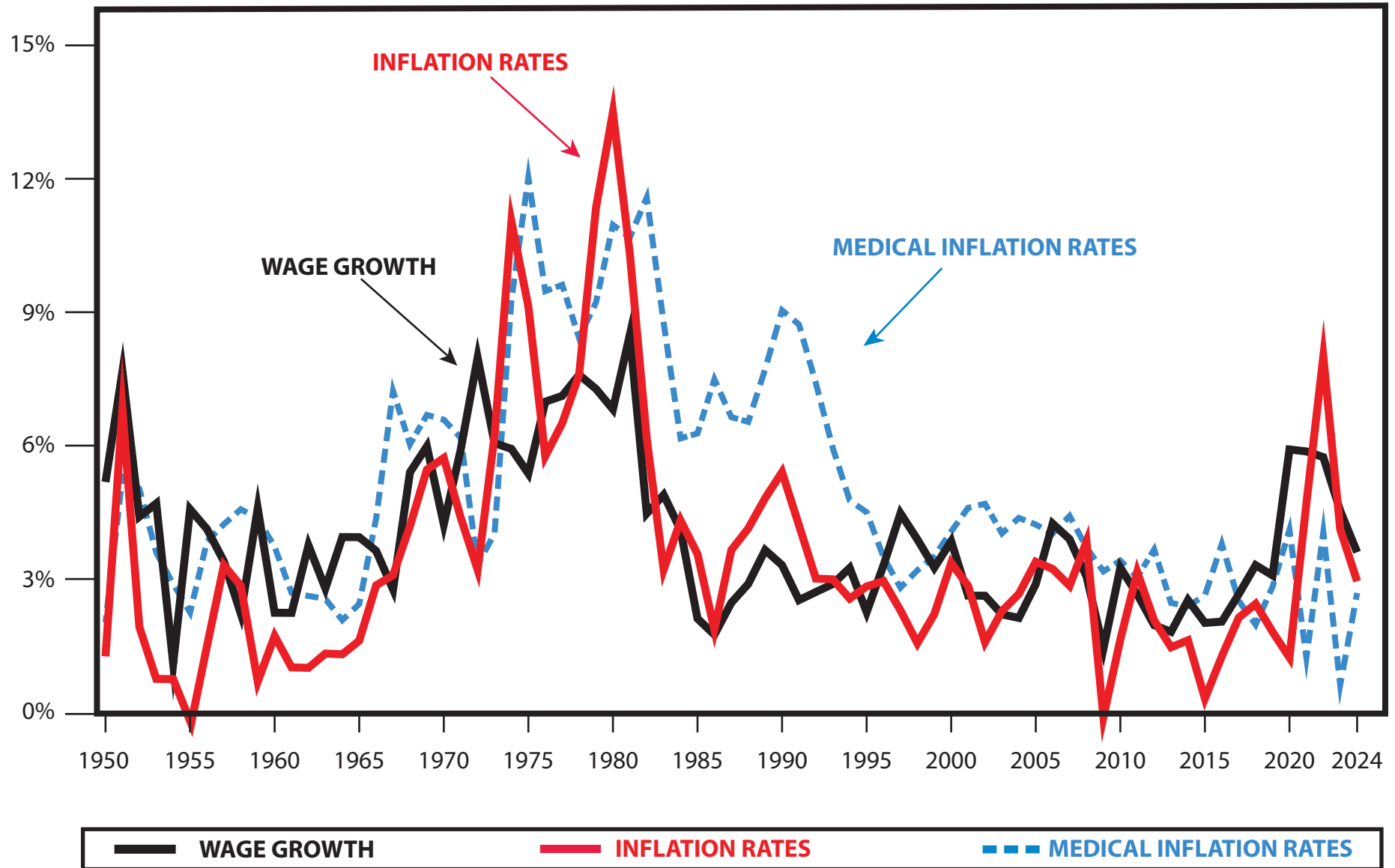
⁵ MCPI Expenses include items whose prices will increase in the future based on changes in the Medical Consumer Price Index.

⁶ This Household Services analysis does not include the value of nighttime protection and care.

⁷ This analysis estimates Mr. Gomez-Rivera's Household Services commencing 1/1/2022, based on information supplied by counsel.

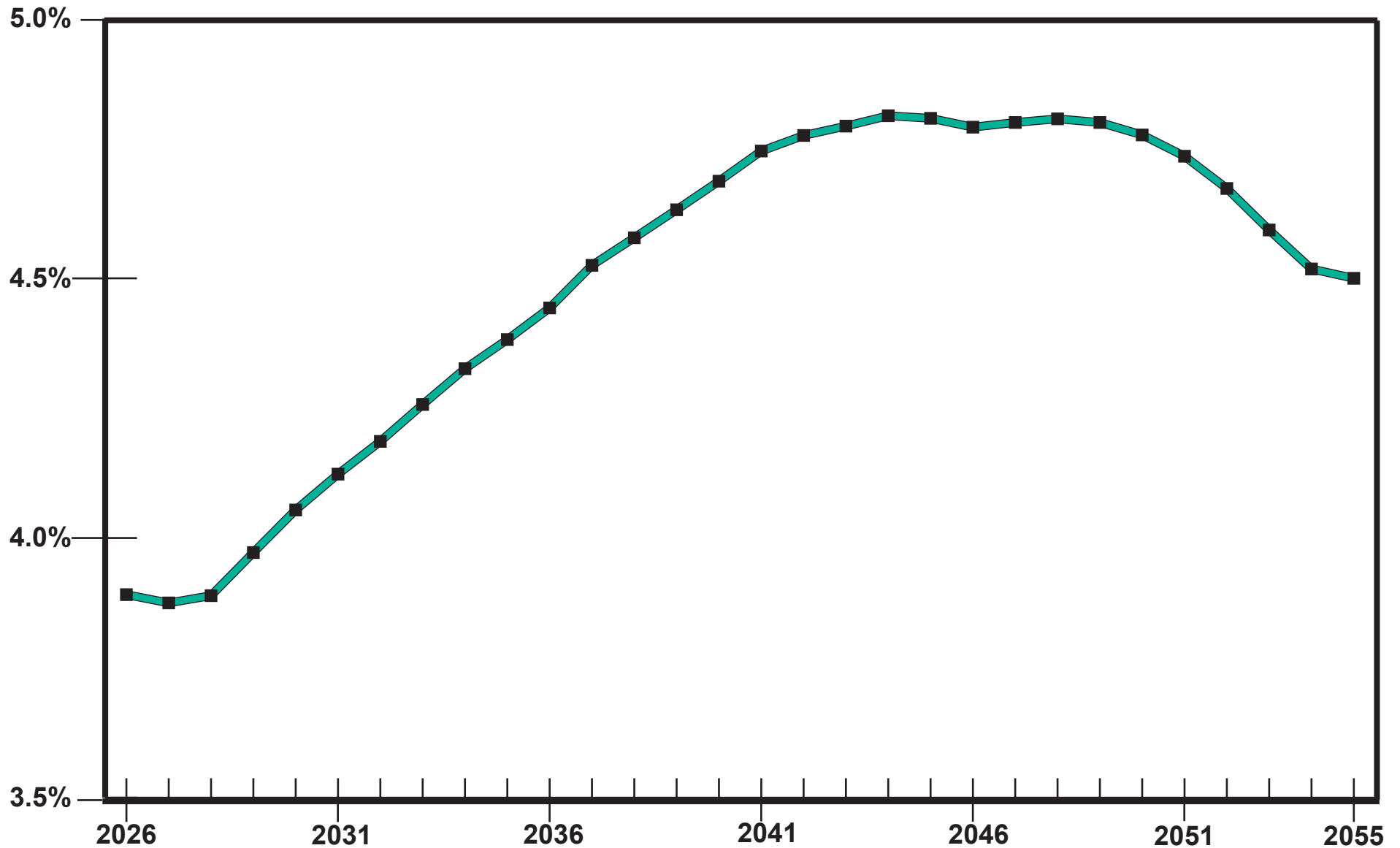
* This is not the Future Value, adjusted for growth.

Wage Growth & Inflation Rates 1950 - 2024



U.S. Treasury Zero Coupon Strips *

2026 - 2055

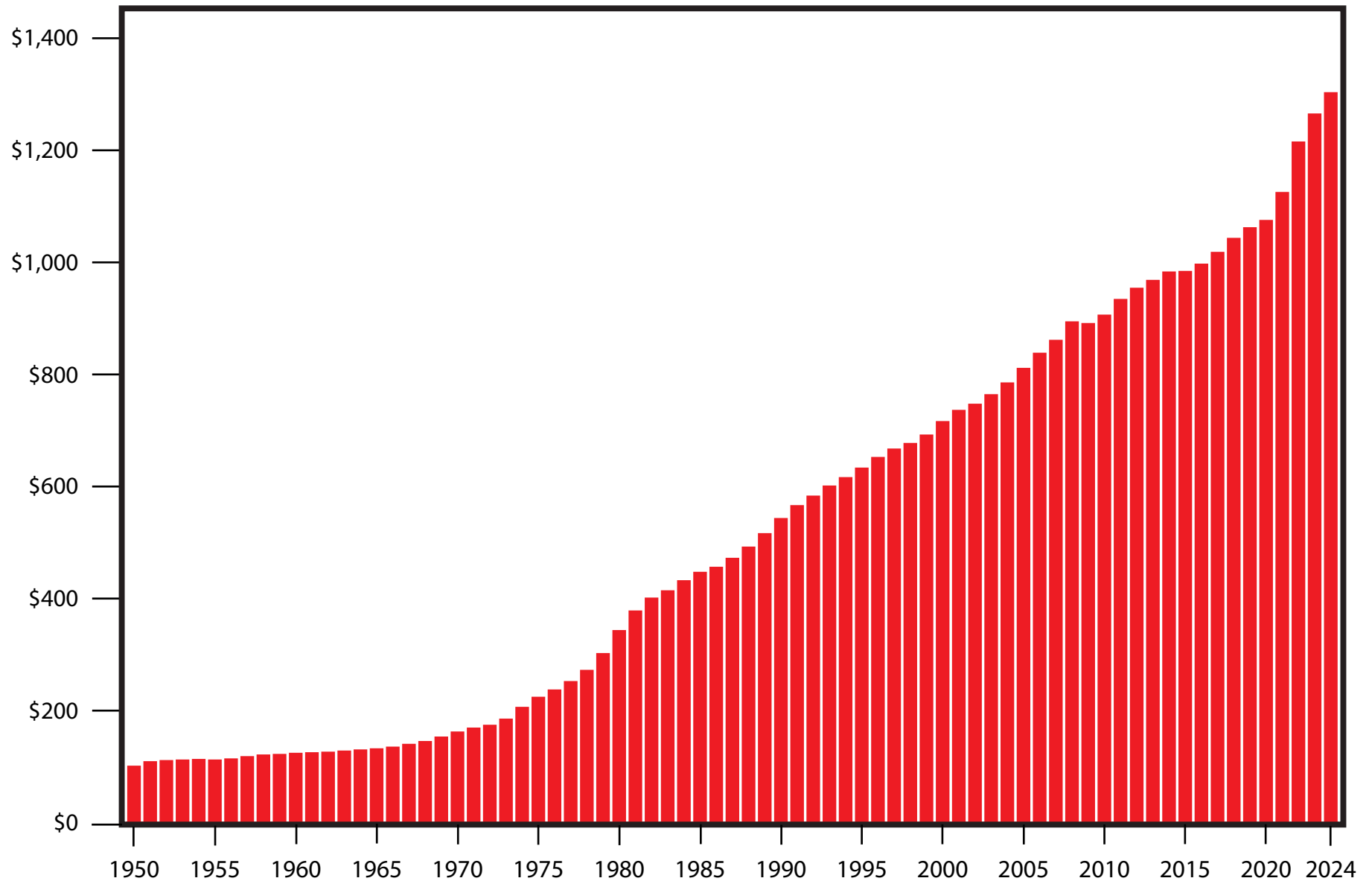


Robert W. Johnson & Associates

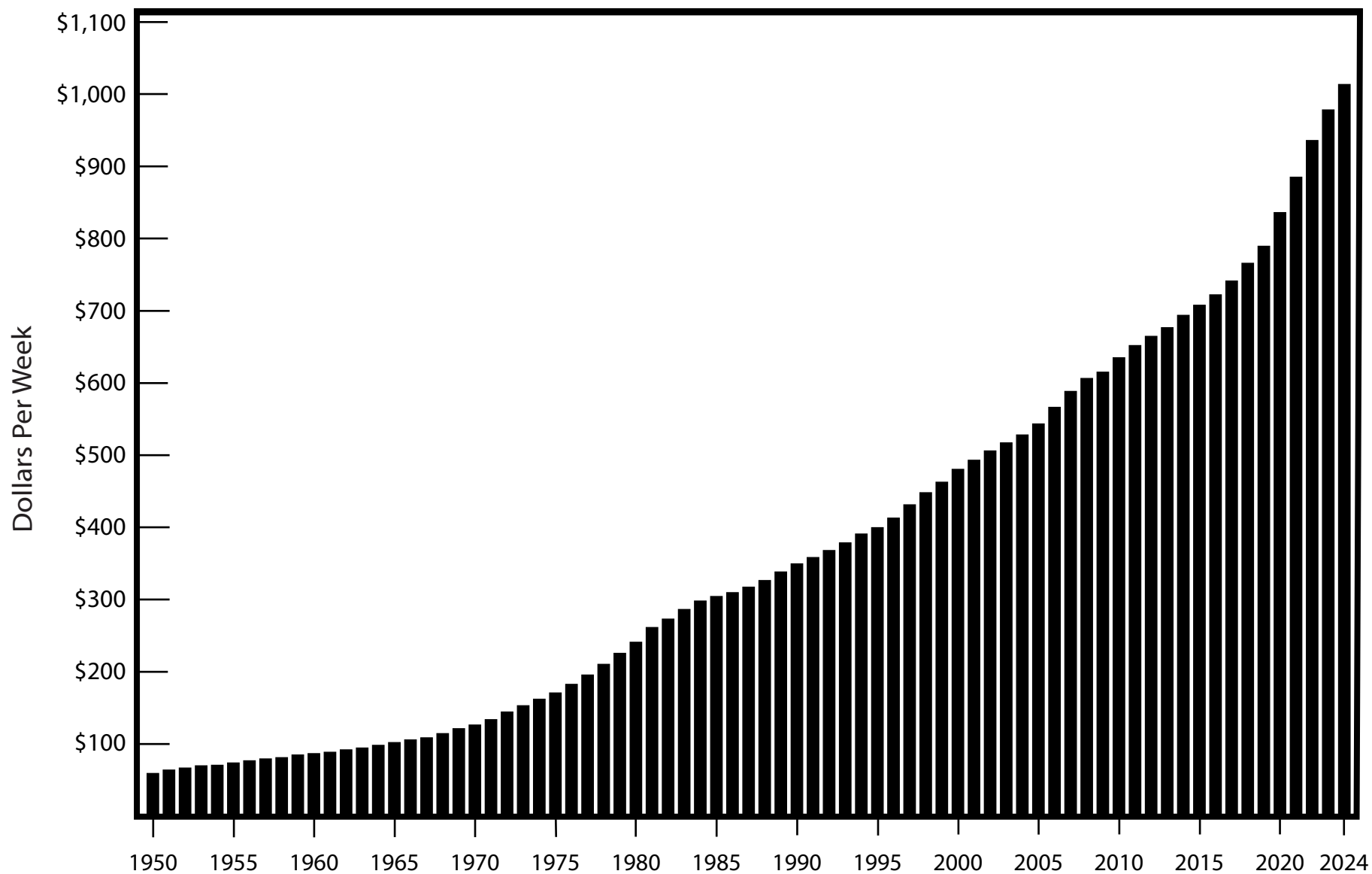
Source: Charles Schwab & Co. Inc. 3/31/2025

*Principal Only - Notes & Bonds

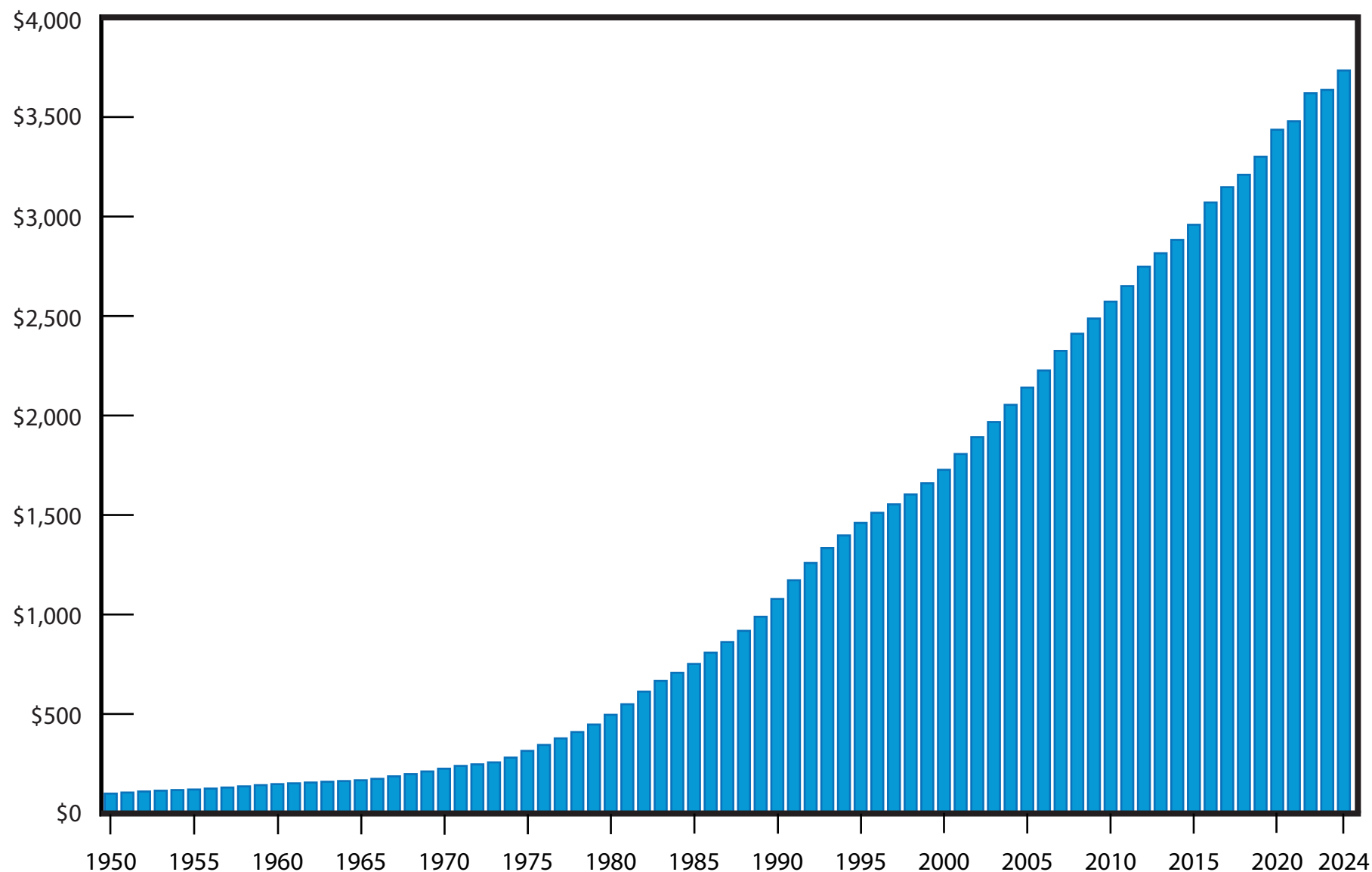
Increase in the Cost of \$100 of All Goods and Services 1950 - 2024



Average Weekly Earnings in Private Non-Agricultural Industries 1950 - 2024



Increase in the Cost of \$100 of Medical Goods and Services 1950 - 2024



PERSONAL INJURY - ECONOMIC IMPACT REPORT
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Expected Income

Year	Present Value
2023	19,550
2024	26,798
2025	26,798
2026	26,705
2027	26,620
2028	26,521
2029	26,345
2030	26,130
2031	25,895
2032	25,639
2033	25,339
2034	25,013
2035	24,689
2036	24,331
2037	23,892
2038	15,516
Total	395,781

PERSONAL INJURY - ECONOMIC IMPACT REPORT
Re: Adan Gomez-Rivera

Value of Home Care

Year	Present Value
2023	5,915
2024	25,012
2025	25,012
2026	24,925
2027	24,846
2028	24,754
2029	24,589
2030	24,389
2031	24,169
2032	23,930
2033	23,650
2034	23,346
2035	11,522
Total	286,059

PERSONAL INJURY - ECONOMIC IMPACT REPORT
Re: Adan Gomez-Rivera

Past Medical Expenses

Year	Present Value
2025	25,539
Total	25,539

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CPI Expenses

Year	Present Value
2026	991
2027	441
2028	439
2029	860
2030	549
2031	429
2032	837
2033	940
2034	414
2035	205
Total	6,105

PERSONAL INJURY - ECONOMIC IMPACT REPORT
Re: Adan Gomez-Rivera

MCPI Expenses

Year	Present Value
2025	2,392,919
2026	294,699
2027	273,190
2028	276,063
2029	285,170
2030	279,824
2031	281,270
2032	279,784
2033	2,856,922
2034	308,025
2035	152,286
Total	7,680,152

PERSONAL INJURY - ECONOMIC IMPACT REPORT
Re: Adan Gomez-Rivera

Household Services

Year	Present Value
2022	2,560
2023	4,460
2024	9,241
2025	9,241
2026	9,247
2027	9,256
2028	9,260
2029	9,237
2030	9,199
2031	9,154
2032	9,102
2033	9,032
2034	8,953
2035	8,874
2036	8,782
2037	8,659
2038	9,704
2039	11,775
2040	11,608
2041	11,426
2042	11,285
2043	11,163
2044	11,034
2045	10,954
2046	10,903
2047	10,796
2048	10,693
2049	10,624
2050	10,599
2051	2,550
Total	279,371

PRESENT VALUE CALCULATION

This report quantifies the economic damages of this case. It does not include non-economic (general) damages.

The calculation of present value must account for two economic variables. One factor is growth – wage growth or inflation. The second factor is discounting, or interest rates. Applying growth to the current value of the damages leads to an inflated, future value. It is this future value which must be reduced to present value. This is done by applying current interest rates to the future value to calculate present value. It is important to remember that while the present value is always less than the future value, it is not always less than the current, uninflated value. As an example:

Assume that a surgery that currently costs \$100,000 will be needed in 20 years. First, assuming a 5.0% medical inflation rate, the cost of this surgery in 20 years, the future value, would be \$265,000. Second, assuming a 4.5% interest rate (20-year U.S. Treasury yield), the present value would be \$110,000.

If instead \$100,000 was invested today, earning 4.5% interest, that amount would only grow to \$241,000 in 20 years. This is less than the \$265,000 needed to pay for the surgery.

Therefore, we need to invest \$110,000 today, using the same 4.5% interest rate, to ensure that the amount needed in 20 years, \$265,000, is available. The correct present value of the funds to be set aside today to pay for a surgery that will cost \$265,000 in 20 years is \$110,000.

In this example, the current value is less than the present value. This has no economic importance. This is because, by definition, present value is related strictly to the future value, not the current value.

If, in this example, the growth rate was 4.5% and the interest rate was 5.0%, then the future and present values would be different. The future value of \$100,000, at 4.5% growth, would be \$241,000. The present value of \$241,000, at 5.0% interest, would be \$91,000. Here the present value is less than the current value. That fact remains unimportant, because what we really need to know is that \$91,000 is what needs to be set aside today in order to provide \$241,000 in 20 years.

The lost wages and earning capacity are assumed to increase in the future. The wage growth rates used in this report were determined from post-war (1950 - 2024) U.S. economic data and are illustrated in the attached chart. The economic data for the period of 1950 - 1963 has been adjusted to incorporate post 1963 data set changes. Future lost wages and earning capacity are also assumed to be adjusted to present value based on current interest rates.

Where wages, income or earning capacity damages are required to be calculated on a pre-tax basis, the interest rates used in this report are current yields on U.S. Treasury Securities, illustrated in an attached chart.

Where wages, income or earning capacity damages are required to be calculated on an after-tax basis, the interest rates used in this report are current yields on tax-free municipal securities, also illustrated in an attached chart.

In cases where the subject's wage growth is assumed to track the national average and he/she has no expected job changes, it is assumed that wages will remain constant after the present year. Wage growth, inflation, and interest rates are all accounted for in the present value process.

Similar to the present value process for lost wages and earning capacity, anticipated future expenses, household services and medical costs are also assumed to increase in the future. The inflation rates used in this report were determined from post-war (1950 - 2024) U.S. economic data and are illustrated in the attached chart. Future expenses, household services and medical costs are also assumed to be adjusted to present value based on current U.S. Treasury interest rates.

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Charles Schwab & Co.: U.S. Treasury Zero Coupon Strips, Principal Only, 3/31/2025
Zero Coupon Municipal Bonds, Principal Only, 3/31/2025

I, James A. Mills, declare:

1. I am a consulting economist. I am an Economist with Robert W. Johnson & Associates, a litigation-economics consulting firm. I have been involved in litigation-economics consulting since 2002. I received a Master of Arts in Applied Economics from San Jose State University in 2000, and hold a Bachelor of Science in Economics from Santa Clara University. My qualifications are set forth in detail in my curriculum vitae.

2. Attached hereto is a true and accurate copy of the Economic Impact Report we prepared involving the injured party named: Adan Gomez-Rivera

3. If called to trial, I could and would testify to my conclusions, and the reasons for those conclusions, stated in the attached report.

I declare under penalty of perjury under the laws of the State of California that the foregoing is true and correct.

Executed on June 24, 2025 at Los Altos, California.



James A. Mills